

Institute a Savings Program

Now that more Americans are saving, make sure that you maintain a reserve account just in case a short-term emergency, such as a layoff or temporary disability, forces you to rely on savings for a stretch of time. This will also help give you peace of mind if another recession ever occurs. Most experts say that at a *minimum* you should have enough cash to meet three to six months of unavoidable living expenses.

Save for the Future

If you are fortunate enough to have a job that offers you the ability to contribute to a retirement plan with pretax dollars, then you must make every attempt to take advantage of this opportunity, especially in this postrecession time. This type of saving is the primary way to accumulate significant wealth in today's society, and ensure financial stability in the future. Always remember to pay yourself first!



In the past, you could count on the government or your employer to pony up a larger portion of your retirement income. Nowadays, very few employers provide pensions or defined benefit plans, and nobody knows what social security will look like in twenty years.
